

Term paper

FIE401

Candidates: 251, 269, 275, 380

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NHH



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1 Abstract

2 Intro

3 Data

4 Analysis

Table 4.1: Summary Statistics

	Mean	Median	SD	Min	Max
<i>Panel A: SMI (N = 16,588)</i>					
Bid-Ask Spread	3.982	3.324	2.988	0	44.124
log(Mcap)	3.356	3.165	0.975	1.459	5.659
Turnover	0.903	0.721	0.685	0.119	14.42
BTM	0.527	0.349	0.507	0.058	2.892
Leverage (D/E)	1.211	0.6	1.437	0	6.012
<i>Panel B: CAC40/DAX30 (N = 61,622)</i>					
Bid-Ask Spread	21.34	11.585	23.501	0	123.454
log(Mcap)	3.146	3.1	0.991	0.836	5.659
Turnover	0.787	0.325	1.844	0.001	14.42
BTM	0.895	0.536	1.044	0.058	6.598
Leverage (D/E)	1.317	0.778	1.473	0	8.353

Table 4.2: Pre-period Comparison — SMI vs. CAC40/DAX30

	Bid-Ask Spread	log(Mcap)	Turnover	BTM	Leverage (D/E)
	(1)	(2)	(3)	(4)	(5)
SMI	−18.962*** t = −7.710	0.130 t = 0.561	0.133 t = 0.612	−0.332** t = −2.323	−0.082 t = −0.253
Pre-period	Yes	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock	By stock
Observations	12,641	12,641	12,641	12,641	12,641
Adjusted R ²	0.106	0.003	0.001	0.025	0.001

Note:

*p<0.1; **p<0.05; ***p<0.01

Table 4.3: Table 3: Effect of Market Consolidation and Re-fragmentation on Stock Liquidity

	<i>Dependent variable:</i>					
	Bid-Ask Spread				Amihud Illiquidity	
	(1)	(2)	(3)	(4)	(5)	(6)
SMI x Post	1.582 t = 1.176	2.655** t = 1.979			1.227 t = 1.361	1.971* t = 1.679
SMI x Consolidated			1.555 t = 1.161	2.377* t = 1.785		
SMI x Re-fragmented			3.890** t = 2.390	4.444*** t = 2.663		
log(Mcap)		-9.738*** t = -3.072		-7.794*** t = -3.276		-14.520* t = -1.792
Turnover		-1.493*** t = -3.265		-1.123*** t = -3.269		-0.796** t = -2.319
BTM		1.766 t = 0.551		1.065 t = 0.389		-4.919 t = -1.448
Leverage (D/E)		-0.131 t = -0.139		-0.226 t = -0.262		-2.961* t = -1.670
Sample	Pre+Cons.	Pre+Cons.	Full	Full	Pre+Cons.	Pre+Cons.
Controls	No	Yes	No	Yes	No	Yes
Observations	54432	54432	78210	78210	54325	54325
Stock FE	Yes	Yes	Yes	Yes	Yes	Yes
Day FE	Yes	Yes	Yes	Yes	Yes	Yes
Cluster SE	By stock	By stock	By stock	By stock	By stock	By stock
Adjusted R ²	-0.011	0.012	-0.009	0.009	-0.012	-0.001

Note:

*p<0.1; **p<0.05; ***p<0.01

5 Conclusion